that are still open either tend to be expensive or do not stick to a pure microcap strategy.

A small-cap value fund is a one-fund-fits-all method to add size and style premium exposure. There are many small-cap value indexes available to choose from, and you'll want to study the differences in those indexes before selecting a fund to represent this niche sector of the market.

NOTES

[1]Rolf W. Banz, "The Relationship between Return and Market Value in Common Stocks," *Journal of Financial Economics*, vol. 9, 1981, pp. 3–18; Marc R. Reinganum, "Misspecification of Capital Asset Pricing: Empirical Anomalies Based on Earnings Yield and Market Values," *Journal of Financial Economics*, vol. 9, 1981, pp. 19–46.

[2]Benjamin F. Graham and David L. Dodd, *Security Analysis*, 4th rev. ed. (New York: McGraw-Hill, 1972) (originally published in 1934).

[3]Eugene F. Fama and Kenneth R. French, "The Cross-Section of Expected Stock Returns," *Journal of Financial Economics*, vol. 48, pp. 427–465, June 1992. The authors followed with a second paper, "Common Risk Factors in the Return of Stocks and Bonds," *Journal of Financial Economics*, February 1993, vol. 33, no. 1, pp. 3–57.

[4]Kenneth French Web site: http://mba.tuck.dartmouth.edu/pages/faculty/ken.french/index.html.